

Standard Chartered Plc (HK) (2888)

Model Update

Following StanChart's 2Q25 results ([link](#)), we increase EPS by +4%/0%/+2% for FY25-27E, driven by stronger non-NII revenues, partly offset by higher costs with 2026 cost targets unchanged on a constant currency basis. We now forecast a total income CAGR of +6.7% across 2023-26E, in line with the Group's target of the upper end of the 5-7% target range. As a result, we increase our PT to HK\$162. We see Adj ROTE of 12.5% 25E, with the Group on track towards targets ("ROTE approaching 13% in 26E and progress thereafter") with ROTE of 12.7%/13.3% in FY26/27E. Overall, we remain OW with the stock trading on 8.0x P/E, 0.8x P/B for an ROE of 11.0% 26E, and we expect an additional \$1.5bn SBB to be announced with the FY results.

- **We reduce our FY25E NII forecasts to \$10.8bn** (-3% y/y), in line with management's guidance for a LSD% decline. We expect quarterly NII to decline sequentially through 2H25 with exit NIM of 1.89%, driven by the decline in interest rate outlook, with the Group's currency-weighted average curve now expected at 295bps in 3Q (previously 349bps). We see these pressures offset by volume growth, increased structural hedging (\$75bn in 2Q with some expansion expected in 2H), and while pass-throughs were low in Retail (given the pace of rate movements), Corporate pass-throughs have been managed assertively through the cycle and are expected to normalise.
- **We forecast total income growth of 5% FY25E** compared to management guidance at the bottom end of the 5-7% range, with non-NII growth of +16% in FY25E. We expect +22% y/y growth in Investment Products and +13% y/y in Bancassurance in FY25E, with a total Wealth income CAGR of +12% across 23-26E, and the Group seeing a record quarter of net new money at \$16bn (o.w. \$12.4bn deposits), which we expect to convert into Wealth products over time. Financial Markets had a strong quarter although we highlight strength in flow income (+22% y/y), which has shown multi-year progress. Overall, we expect a total income CAGR of +6.7% 23-26E compared to management targets of the upper end of a 5-7% CAGR range.
- **We increase our cost forecasts to \$12.4bn FY26E**, in line with the Group's FX adjusted target of <\$12.4bn, with an increase in FY25E costs to +4% y/y and a flattening of costs across FY26/27E. We also adjust our CTA allowance for the Group's Fit for Growth programme, in line with guidance, for c40%/c50% of the \$1.5bn CTA to be utilised in FY25/26E with no further CTA costs in FY27E. We expect cost savings to be largely realised in FY27E (and completely realised in FY28E).
- **CRE in the spotlight but less of a risk vs HSBC**: StanChart's HK CRE exposure is \$2.1bn representing <0.5% of Group exposures (compared to HSBC's HK CRE exposure of c\$32bn at c3% of Group loans) with 82% secured with an average LTV <50%. The Group's exposure is to high quality developers largely part of diversified conglomerates. We note that c\$0.1bn or c5% of HK CRE is in CG13-14 category (i.e. defaulted).

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan

See page 5 for analyst certification and important disclosures, including non-US analyst disclosures.

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Overweight

2888.HK, 2888 HK

Price (04 Aug 25): HK\$141.90

▲ **Price Target (Dec-26): HK\$162.00**
Prior (Dec-26): HK\$148.00

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Key Changes (FYE Dec)

	Prev	Cur
Adj. EPS - 25E (\$)	1.97	2.04

Quarterly Forecasts (FYE Dec)

Adj. EPS (\$)	2024A	2025E	2026E
Q1			
Q2			
Q3			
Q4			
FY	1.51	2.04	2.27

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	36	34	29	36	41
Growth	56	67	27	26	64
Momentum	26	9	21	9	87
Quality	89	71	61	76	92
Low Vol	36	27	32	51	61

Price Performance



— 2888.HK Price (HK\$)— HSI (rebased)

	YTD	1m	3m	12m
Abs	48.5%	8.9%	24.9%	95.6%
Rel	25.2%	5.5%	15.0%	47.5%

Company Data

Shares O/S (mn)	2,322
52-week range (HK\$)	148.50-66.60
Market cap (\$ mn)	41,976
Exchange rate	7.85
Free float (%)	99.9%
3M ADV (mn)	1.10
3M ADV (\$ mn)	18.7
Volatility (90 Day)	43
Index	HSI
BBG ANR (Buy Hold Sell)	16 6 4

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Net interest income	11,096	10,787	10,716	10,987
Non interest income	8,305	9,606	10,421	10,973
Operating expenses	(11,790)	(12,276)	(12,399)	(12,566)
Adj. PPOP	7,611	8,116	8,738	9,395
Provision for loan losses	(557)	(1,144)	(1,209)	(1,277)
Adj. PBT	6,516	7,031	7,569	8,147
Adj. net income	3,930	4,723	4,967	5,427
Adj. EPS	1.51	2.04	2.27	2.61
BBG EPS	-	-	-	-
DPS	0.37	0.41	0.44	0.47
Loans	281,032	287,776	296,373	307,087
Deposits	464,489	499,025	510,084	521,588
Total Assets	849,688	880,766	907,205	940,210
Margins and Growth				
NIM	2.1%	2.0%	1.9%	1.9%
Ratios				
Loan/ Deposit ratio	60.5%	57.7%	58.1%	58.9%
NPL / Loans	2.2%	2.2%	2.1%	2.1%
Coverage	63.6%	63.6%	63.6%	63.6%
CET 1	14.2%	13.8%	13.6%	13.9%
Non-int. income/ Income	42.8%	47.1%	49.3%	50.0%
Cost/Income	60.8%	60.2%	58.7%	57.2%
LLP/Loans	(0.2%)	(0.4%)	(0.4%)	(0.4%)
ROA	0.5%	0.5%	0.6%	0.6%
ROE	8.8%	10.4%	10.7%	11.2%
Valuation				
Dividend yield	2.0%	2.3%	2.5%	2.6%
Adj. P/E	12.0	8.9	8.0	6.9
P/ BV	1.0	0.9	0.8	0.7

Summary Investment Thesis and Valuation

We see StanChart as undervalued relative to its sector/EM peers at 1.0x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in '25E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE improving to ~13% by FY26E. Capital remains strong; we forecast distributions of ~\$10.6bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk, although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Our Dec-26 PT of HK\$162 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY27E and a fair P/B of 0.87x. Our key assumptions are a normalized ROE of 8.1% and a cost of capital of 8.9%.

Performance Drivers

Market	30%
Region	0%
Macro	23%
Style	7%
Idiosyn.	41%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.55
Region: Hong Kong	0.30	0.03
Macro:		
HSI Volatility Index	-0.54	-0.48
Markit EM Composite PMI SA	0.28	0.33
US 10 Year Yield	-0.53	-0.32
Quant Styles:		
Quality	-0.20	-0.29
Growth	0.03	0.19
DivYld	0.04	-0.18

Investment Thesis, Valuation and Risks

Standard Chartered Plc (HK) *(Overweight; Price Target: HK\$162.00)*

Investment Thesis

We see StanChart as undervalued relative to its sector/EM peers at 1.0x PTNAV with significant earnings growth potential supported by structural growth drivers and relatively high capital return. We expect a ~7% revenue CAGR over '23-26E, driven by non-NII led by Wealth and Financial Markets, with the group's previous investments producing revenue momentum. NII is likely to be under pressure in '25E owing to lower rates, although this would be partly offset by volume growth, increased structural hedging and assertively managed deposits pass-through. We estimate a ~4% cost CAGR with the group's restructuring program likely to drive material cost saves by FY26, supporting a PPOP CAGR of 12% and RoTE improving to ~13% by FY26E. Capital remains strong; we forecast distributions of ~\$10.6bn compared to group targets of >\$8bn in '24-26E and expect a further \$1.5bn of share buybacks to be announced with FY25 results. CRE remains a risk although we see the group as better positioned compared to peers and pro-actively managing higher-risk exposures lower. Maintain OW.

Valuation

Our Dec-26 PT of HK\$162 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY27E and a fair P/B of 0.88x. Our key assumptions are a normalized ROE of 8.1% and a cost of capital of 8.9%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Standard Chartered Plc (HK) (2888): Summary of Financials

Income Statement						Balance Sheet					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Interest income	10,257	11,096	10,787	10,716	10,987	Cash and cash equivalents	51,697	48,168	48,168	48,168	48,168
Interest expense			-	-	-	Deposits with banks	63,185	58,872	58,872	58,872	58,872
Net interest income	10,257	11,096	10,787	10,716	10,987	Net loans	286,975	281,032	287,776	296,373	307,087
Non interest income	7,121	8,305	9,606	10,421	10,973	PP&E	2,274	2,425	2,425	2,425	2,425
o/w Fee income	-	-	-	-	-	Net intangibles	6,214	5,791	5,965	6,144	6,328
o/w Trading income	0	0	0	0	0	LT investments	359,720	404,628	428,789	446,451	468,558
Net revenues	17,378	19,401	20,392	21,137	21,960	Other assets	52,779	48,772	48,772	48,772	48,772
Non interest expense	(11,136)	(11,790)	(12,276)	(12,399)	(12,566)	Total assets	822,844	849,688	880,766	907,205	940,210
o/w Employee costs			-	-	-	Interest earning assets	415,251	400,674	407,765	416,720	427,803
Pre-Prov. Profits	6,242	7,611	8,116	8,738	9,395	Deposits	469,418	464,489	499,025	510,084	521,588
Provisions	(658)	(1,145)	(1,194)	(1,259)	(1,337)	Borrowings	62,546	66,359	66,151	65,940	65,724
Adj. PBT	5,678	6,516	7,031	7,569	8,147	Other liabilities	246,039	274,058	269,160	283,597	302,928
Income taxes	(1,631)	(1,972)	(1,598)	(1,875)	(2,200)	Total liabilities	778,003	804,906	834,336	859,620	890,240
Minority interest	7	8	(17)	(18)	(18)	Shareholder equity	44,445	44,388	46,036	47,191	49,576
Adj. Net profit	3,415	3,930	4,723	4,967	5,427	Minority interests	396	394	394	394	394
PPOP per share	2.25	2.99	3.49	4.00	4.55	Total liabilities and Shareholder equity	822,844	849,688	880,766	907,205	940,210
Reported EPS	1.06	1.38	1.78	2.02	2.56	Interest bearing liabilities			-	-	-
Adj. EPS	1.20	1.51	2.04	2.27	2.61	Book Value Per Share	16.85	18.43	20.47	22.25	24.67
DPS	0.27	0.37	0.41	0.44	0.47	Tangible Book Value Per Share	13.61	14.99	17.25	18.61	20.65
Diluted shares outstanding	2,841	2,610	2,316	2,189	2,078						
Balance Sheet Gearing						Asset Quality/Capital					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Loans/Deposits	61.1%	60.5%	57.7%	58.1%	58.9%	Loan loss reserves/Loans	(1.5%)	(1.4%)	(1.4%)	(1.4%)	(1.3%)
Investment/Assets	42.8%	45.7%	48.2%	49.0%	49.5%	NPLs/Loans	2.5%	2.2%	2.2%	2.1%	2.1%
Loan/Assets	37.0%	34.6%	33.4%	33.2%	33.2%	Loan loss reserves/NPLs	58.2%	61.6%	63.6%	63.6%	63.6%
Customer deposits/Liabilities	60.3%	57.7%	59.8%	59.3%	58.6%	NPL y/y growth	(7.9%)	(14.2%)	2.0%	2.0%	2.0%
LT debt/Liabilities	8.0%	8.1%	8.1%	7.8%	7.5%	Tier 1 ratio	16.3%	16.9%	16.3%	16.0%	16.2%
						CAR			-	-	-
Ratio Analysis (%)						Ratio Analysis (%)					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Net interest margin	1.8%	2.1%	2.0%	1.9%	1.9%	Return on equity (ROE)	7.8%	8.8%	10.4%	10.7%	11.2%
Non interest income/Net revenue	41.0%	42.8%	47.1%	49.3%	50.0%	Return on assets (ROA)	0.4%	0.5%	0.5%	0.6%	0.6%
Non interest income/Avg. Assets	0.9%	1.0%	1.1%	1.2%	1.2%	Operating ROA	0.7%	0.8%	0.8%	0.8%	0.9%
Efficiency ratio	64.1%	60.8%	60.2%	58.7%	57.2%	Pre-Tax ROA	0.6%	0.8%	0.7%	0.8%	0.9%
Leverage ratio	4.8%	5.0%	5.0%	4.9%	5.0%	Pre-Provision ROA	0.8%	0.9%	0.9%	1.0%	1.0%
Revenue/Assets	2.1%	2.3%	2.4%	2.4%	2.4%	Tax rate	32.0%	32.8%	25.6%	27.5%	27.3%
RORWA	1.4%	1.6%	1.8%	1.8%	1.9%						
						Net loans y/y growth	(7.6%)	(2.1%)	2.4%	3.0%	3.6%
RWA	244,151	247,065	263,767	274,102	285,151	Assets y/y growth	0.4%	3.3%	3.7%	3.0%	3.6%
Avg. RWA	244,431	245,608	255,416	268,935	279,627	RWA y/y growth	(0.2%)	1.2%	6.8%	3.9%	4.0%
Avg. IEA	418,525	407,963	404,220	412,243	422,262	Deposits y/y growth	1.7%	(1.1%)	7.4%	2.2%	2.3%
Gross Loans	292,145	285,936	292,778	301,475	312,291	Net interest income y/y growth	28.7%	8.2%	(2.8%)	(0.7%)	2.5%
Avg. IBL	0	0	0	0	0	Revenues y/y growth	10.3%	11.6%	5.1%	3.7%	3.9%
LLR	(4,320)	(3,948)	(4,027)	(4,107)	(4,190)	Adj. EPS y/y growth	30.2%	25.3%	35.4%	11.3%	15.1%
NPLs	7,228	6,203	6,327	6,454	6,583	BVPS y/y growth	12.0%	9.4%	11.1%	8.7%	10.9%
P/BV (x)	1.1	1.0	0.9	0.8	0.7	IE assets/Assets	51.0%	48.8%	46.7%	46.1%	45.7%
Adj. P/E (x)	15.0	12.0	8.9	8.0	6.9	Margins (as % of Avg. Assets)	1.2%	1.3%	1.2%	1.2%	1.2%
Dividend yield	1.5%	2.0%	2.3%	2.5%	2.6%	LLP/Loans	(0.2%)	(0.2%)	(0.4%)	(0.4%)	(0.4%)
Dividend payout	25.4%	26.9%	23.3%	21.9%	18.3%	Equity/Assets	5.3%	5.3%	5.2%	5.2%	5.2%
						Cost/Assets	1.4%	1.4%	1.4%	1.4%	1.4%
						Assets/Equity	18.8	18.8	19.1	19.2	19.1

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

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